Transaction	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Paid ₹ 4,800 in full settlement of ₹ 5,000 to Keerthana	Keerthana A/c	Personal A/c	Keerthana is the receiver	Debit
	Cash A/c	Real A/c	Cash goes out	Credit
	Discount received A/c	Nominal A/c	Discount is a gain	Credit

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Keerthana A/c	Dr.		5,000	
	To Cash A/c				4,800
	To Discount received A/c				200
	(Paid Keerthana in full settlement)				

Example 13

Transaction: Dinesh, a customer is declared insolvent and 40 paise in a rupee is received from the estate for his due ₹ 10,000.

Analysis: This is a cash transaction as cash is involved.

Transaction	Accounts involved	Nature of accounts	How affected in business	Debit / Credit
Dinesh who owed ₹ 10,000, became insolvent and 40 paise in a rupee is received from his estate	Cash A/c	Real A/c	Cash comes in	Debit
	Bad debts A/c	Nominal A/c	Bad debts is a loss	Debit
	Dinesh A/c	Personal A/c	Dinesh is the giver	Credit

Journal entry

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Cash A/c	Dr.		4,000	
	Bad debts A/c	Dr.		6,000	
	To Dinesh A/c				10,000
	(Cash received in final settlement on insolvency)				

Tutorial note

Though the procedure for analysis of transactions, classification of accounts and rules for recording transactions under accounting equation approach and traditional approach are different, the accounts affected and entries in affected accounts remain the same under both approaches. In other words, accounts to be debited and credited to record the dual aspect remain the same under both the approaches.

Illustration 6

Jeyaseeli is a sole proprietor having a provisions store. Following are the transactions during the month of January, 2018. Journalise them.

Jan.		₹
1	Commenced business with cash	80,000
2	Deposited cash with bank	40,000
3	Purchased goods by paying cash	5,000

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